Financial Accounting — PREVIEW

Course: CPA — Certified Public Accountant | Level: Foundation Level 1
This is a free preview covering the introduction and Section 1–2 only.

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1. Introduction to accounting and the regulatory framework

1.1 What accounting is

Accounting is the process of identifying, recording, classifying, summarising, and communicating financial information about an economic entity to people who use that information to make decisions.

Three stages happen in sequence:

Stage	What happens	Output
Recording (bookkeeping)	Transactions are captured as they occur	Books of original entry, ledgers
Classifying & summarising	Similar items are grouped and totalled	Trial balance
Communicating	Summarised data is presented for decisions	Financial statements, reports

1.2 Users of accounting information and their needs

User	Typical question they want answered
Owners/shareholders	Is my investment growing? Should I keep, add, or withdraw capital?
Management	Are we hitting targets? Where should resources go next period?
Lenders/banks	Can this entity service debt? Is security adequate?
Government (KRA)	What tax is due? Is the entity complying with tax law?

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2. The accounting equation and double entry

2.1 The accounting equation

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ASSETS = LIABILITIES + CAPITAL (EQUITY)
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2.2 Double entry rules

Account type	Increase	Decrease
Asset	Debit	Credit
Expense	Debit	Credit
Liability	Credit	Debit
Capital/Equity	Credit	Debit
Income	Credit	Debit

Mnemonic — DEAD CLIC: *Debit: Expenses, Assets, Drawings. Credit: Liabilities, Income, Capital.*

Unlock the full paper

The complete version includes 17 sections, a fully worked revision question (statement of profit or loss and statement of financial position), and a 10-question original self-assessment kit with model answers — covering VAT, depreciation, inventory valuation, accruals, bad debts, bank reconciliations, control accounts, and full financial statements.

Purchase the full paper to continue.